

The US-dollar investor -- timing dollar returns with the FX-adjusted factor

Strategy	Mean (%)	Vol (%)	Sharpe	OOS R2
FXGCF-timed	0.37	11.70	0.03	0.093
GCF-timed	0.61	8.54	0.07	0.066
Recursive-mean timing	0.26	8.04	0.03	--
Buy-and-hold	-0.17	7.98	-0.02	--

Unhedged 10Y global bond portfolio in US dollars, 2010-2024 (n=161 months). FXGCF-timed and GCF-timed use the recursive FX-adjusted and unadjusted global factors; the same mean-variance rule and equal-average-exposure reporting as the hedged strategy. OOS R2 is the Campbell-Thompson statistic of the factor forecast. The dollar bond premium is near zero over the sample, so all strategies are weak in absolute terms.